

Capital Asset Pricing Model

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Beta and the price of market risk

PROFESSIONAL DEFINITION

The Capital Asset Pricing Model (CAPM) relates an asset's expected return to its systematic risk (beta), pricing the market risk that cannot be diversified away.

WHO DEVELOPED IT

Developed independently by William Sharpe, John Lintner and Jan Mossin in the 1960s, building on Markowitz; Sharpe shared the Nobel Prize.

WHY IT WAS DEVELOPED

It was developed to price risk, providing a benchmark expected return for an asset given its exposure to market risk.

FIGURE 1 · CAPITAL ASSET PRICING MODEL



Figure 1. A schematic of the Capital Asset Pricing Model as applied in BARBM312 (illustrative).

HOW IT IS USED

Expected return is computed from the risk-free rate, beta and the market risk premium; assets are assessed against this benchmark.

WHEN IT IS USED

When pricing risk, estimating cost of capital and benchmarking returns.

BY WHOM IT IS USED

Analysts, portfolio managers and corporate-finance teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It introduced beta as the price of systematic risk, a cornerstone of modern asset pricing that frames AI-driven return claims.

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SOURCES (HARVARD REFERENCING STYLE)

Sharpe, W.F. (1964) 'Capital asset prices', The Journal of Finance, 19(3).

Lintner, J. (1965) 'The valuation of risk assets', Review of Economics and Statistics, 47(1).